सीमाशुल्क आयुक्त (आयात) का कार्यालय
OFFICE OF THE COMMISSIONER OF CUSTOMS (IMPORT),
मुंबई ज़ोन -III, जन संपर्क अनुभाग, हवाई माल संकुल
MUMBAI ZONE – III, PRO CELL, AIR CARGO COMPLEX,
सहार, अंधेरी (पूर्व), मुंबई- ४०० ००९९
SAHAR, ANDHERI (EAST), MUMBAI – 400 099
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F.No. S/3-MISC-PRO-516/2013 ACC(I) Part 6 **Date: 06.2020**

MINUTES OF THE PERMANENT TRADE FACILITATION COMMITTEE MEETING HELD ON 14.05.2020

The monthly meeting of the Permanent Trade Facilitation Committee (PTFC) for Air cargo Complex, Sahar, was held on 14.05.2020 at 03.00 pm and was co-chaired by Shri Hitesh Shah, Commissioner of Customs, APSC, Shri Vijay Singh Chauhan, Commissioner of Customs (General), Shri. Vinayak Azaad, Commissioner of Customs (Import) and Shri S. Anantha Krishnan, Commissioner of Customs (Export), coordinated by Shri Vinayak Azaad. In view of the government directives pursuant to the lockdown on account of the threat of Covid19, the meeting was conducted via Web Conference.

Following officers and representatives from the stakeholder organizations participated in the meeting:

Name & designation	**Organization**
Shri M. K. Sarangi, Addl. Commissioner (Import)	Customs, ACC, Andheri
Shri Shalabh Katiyar, Jt.Commissioner (General)	Customs, ACC, Andheri
Shri Govind Kumar Garg Jt. Commissioner (Import)	Customs, ACC, Andheri
Shri Pankaj Kumar Jt.Commissioner (General)	Customs, ACC, Andheri
Shri Prabhakar Kumar Jt.Commissioner (Export)	Customs, ACC, Andheri
Shri Brahamanand Prasad Dy. Commissioner of Customs (PCCCC- Export)	Customs ACC Andheri
Shri M.H. Hingorani, Asstt. Commissioner of Customs (Import)	Customs, ACC, Andheri
Shri Ravi Suvarna, Asstt. Commissioner of Customs (Import)	Customs, ACC, Andheri
Shri BipinJadhav, Asstt. Commissioner of Customs (Import)	Customs, ACC, Andheri
Shri Roshanlal, Asstt. Commissioner of Customs (Import)	Customs, ACC, Andheri
Shri Sandeep Gunjal Asstt. Commissioner of Customs (PCCCC)	Customs, ACC, Andheri
Name of attendees from stakeholder organizations	**संगठन/Organization**
Shri Bala Ayer, Ms. Chaitaly Mehta, Shri Vineet Agrawal	ACAAI
Shri Dushyant Mulani, Shri Sanjeev Harale, Shri Kaushal Thakkar, Shri Ketan Desai, Shri K.Shetty Shri GanpatKorde, Shri ShanakrShinde, Shri Tej Contractor	BCBA (formerly known as BCHAA)
Ms. Vaishali Kulkarni	COSIA
Shri Manoj Sing, Shri AshokSatavare, Shri Mohamed Nasir, Shri Nandan Kanchan	MIAL

Shri K. D. Dhule	AIATSL
Shri Mark Fernandes	MSF Bombay
Shri Prasad	Emirates Airlines
Shri Harish Zade	Lufthansa Airlines
Shri Amardeep and Shri Lynn Boothella	British Airways
Shri B.S. Khatib	Godrej & Boyce Mfg. Co.
Shri Sabhyasache Ray, Shri Sanjay Shah	GJEPC
Shri Paresh Sangani	BCBA Representative
Shri Mayur T.	MIAL Asst. Mgr.
Shri Abdul	Sr. AGM, AIASL
Shri Kiran Rambhia	BCBA, Vice President
Shri Newton Fernandes	All Nippon Airlines
Shri Colin Shah	VC, GJEPC

At the outset, Commissioner of Customs (Import) welcomed the members of Trade, Customs Broker Associations, Airlines Representatives, Custodian Representatives, and other stake holders present in the meeting.

Following agenda points were taken up:

AGENDA POINT FROM PREVIOUS MEETING:

1. **Shut down of Gates of Air India (Light & Heavy) shed:**

The trade informed that as the gates of Light & Heavy shed were closed, and many CBs were going back without taking delivery of the cargo even though they had already taken OOC for the goods and transport was also already arranged by them. Also, in many cases, delivery was being refused by AIATSL on the pretext that there was no staff available. This was leading to chaotic situations.

(AIATSL)

It was informed that the situation had since been resolved.

(Point Closed)

AGENDA POINTS OF THE MEETING:

BCBA

1. **Non -related Bills of Entry being marked to ADC by Shed Officer** –

Trade informed that there had been instances wherein even for Single Window Bills of Entry, the shed officers were marking them manually to ADC. Hence, CBs have to physically carry the folder to ADC. They requested that such instances should be avoided.

Addl. Commissioner(I) informed that in some cases the COVID19 testing kits, which required ADC NOC were not being marked by System in the single window, hence the need for manual reference. Commissioner (Import) informed that the issue has already been taken care of and the shed officers have been briefed about it. Any instance, henceforth, may be brought to the notice of Commissioner (I) or AC, Shed. Trade agreed that the issue stood resolved.

(Point Closed)

2. **<u>There are huge non-traceability of consignments in MIAL</u>**-

Trade requested MIAL to ensure the issue of non-traceability of consignments be mitigated on urgent basis. More loaders and forklift operators be deployed since cargo volume has increased.

MIAL informed that the need of the hour was to clear the goods at earliest, which were lying at Air Cargo Complex, mainly the goods occupying cold storage area and the goods which have not been cleared from Jan, 2020 to March, 2020 for which OOC had already been given. MIAL urged that the CBs should make efforts to urge the importers to clear the shipments, especially old consignments, on urgent basis to create space for segregation, which in turn, will help mitigate the issue of non-traceability of consignments. MIAL submitted that they are in the process of forming a special team for untraceable cargo which would work 24x7 to sort out the issue. MIAL assured that the issue of non-traceability would be resolved within a week.

Further, BCBA requested MIAL to augment staff strength to help mitigate the problem to start the 2nd Shift immediately on completion of the 1st Shift as deliveries do not get done due to shortage of loaders and operators. MIAL assured to work in that direction while expressing that the situation would drastically improve in the coming week. Further, MIAL clarified that no demurrage was being levied on OOC consignments for delay on account of non-traceability.

Commissioner (I) advised MIAL and BCBA to monitor the movement of cargo at the ACC, and clear the consignments for which BEs had been filed but duty had not been paid, for consignments wherein OOC has been given but the importers were not coming forward to take delivery of the goods, and consignments which have arrived, but for which BE has not been filed.

Commissioner (G) enquired from BCBA on the number of 1st Check and 2nd Check consignments, which could not be traced by MIAL, since they could be taken up on priority. He also requested BCBA to impress upon their principals to come forward to clear the consignments at the earliest so as to unclog the ACC.

The trade representative while reiterating that there are substantial cases, the details of which they readily did not have, assured that they will seek inputs on the above from the trade and also issue a Circular to all the CBs/stakeholders/Trade to come forward and clear their goods at the earliest. MIAL was also requested to give the list of such pending goods lying in the cold storage, which had not been cleared.

(MIAL)

3. **<u>MIAL and AIR INDIA (AIATSL) to give refund of demurrage charges which have been collected in variance to Ministry of Civil Aviation Order No. F.No. AV-29012/41/2020-ER, dated 1st April 2020</u>**

Trade informed that though, as per the MoCA Circular all the consignments where Bills of Entry were filed up to 14th April 2020 waiver of 50% demurrage charges should be extended, the same was not being followed by MIAL/AIATSL in violation of the order and that the waiver should be granted immediately.

MIAL and AIATSL both have assured that the necessary guidelines and notification issued by the Govt. were being followed and the system was already configured according to the 50% waiver. MIAL informed that they had waived demurrage charges to the tune of Rs 22 Crores. However, any such instances where waiver had not been given may be brought to their respective notice.

Commissioner (I) suggested that in case any ambiguity still exist on the issue, the same may be taken up with BCBA, MIAL and AIATSL separately.

(Point Closed)

4. **Provision of Additional staff in Import Shed**:

Trade requested Customs authorities for additional staff be posted at the Import Sheds as there was an increase in the number of Bills of Entry submission to ensure timely clearance of imports.

Commissioner(I) informed that all the clearances were being done on timely basis as staff is working on roster basis 24x7 without any holidays. No instance of delay in clearance had come to light. However, any delay in clearance on account of Customs be brought to the notice of the concerned AC/DC.

(Point Closed)

5. **Slow functioning of the System in the Shed:**

Trade informed that as System in the shed was extremely slow, the out of charge for the BEs get delayed since document does not appear on the screen of appraiser post examination, causing delay by few hours.

Further, Trade informed that there was delay on account of System being slow. Joint Commissioner (I) informed that there had been a considerable improvement on the speed lately and that the issue would be followed up in case the issue persisted.

(Point Closed)

ADDITIONAL POINTS RAISED BY BCBA:

6. **Charges levied on goods which are given 1st check/2nd check orders and which are not traceable:**

Trade informed that M/s MSC, contractor for MIAL and AIATSL, is compelling Trade to pay the full charges prior to taking delivery, even for goods which have been given 1st/2nd check orders and which are not traceable.

MIAL requested that details of such goods, for which 1st/2nd check orders had been given, may be intimated to them, and that MIAL will issue necessary guidelines to their contractor not to collect charges in all such cases.

Commissioner (G) requested the trade to give the list of goods for which 1st check has been given and which are not traceable. Further, Commissioner (G) requested BCBA to resolve the problem of all those cases where the B/Es had not been filed for the goods/consignments arrived and lying uncleared for some time in order to ease the congestion at ACC. He suggested to BCBA to devise ways to persuade the importers to come forward clearance.

Trade informed that there would be many consignments belonging to MSMEs which they may not be in the position to clear because of the adverse effect caused by the pandemic on the market and such uncleared consignments may belong to such MSMEs and they may be constrained to abandoned them.

BCBA assured that they would issue a Circular to request all importers to do the needful in tandem with their CB, and Custodian. Custodians were requested to provide to BCBA, the details of the importers whose goods were lying uncleared so that there could do the necessary follow-up.

(Point Closed)

ACAAI

1. **Introduction of a sanitization tunnel at the entry point of ACC**:

Commissioner (I) expressed his concern over the harmful effects and feasibility of spraying such sanitizer over the human body.

Trade informed that herbal sanitizers which were safe to use be used in the sanatization tunnel. Trade requested that in view of the alarming situation caused by COVID19, a sanitising tunnel be installed at ACC in addition to the temperature checks being carried out by MIAL.

MIAL informed that they had checked with their medical team and it is informed that installation of a sanitization tunnel in public places is not advised. MIAL informed that they were aware of the herbal sanitizers and were exploring the option and would install the sanitization tunnel as soon as the approval for the same is received by them after clarity from WHO and MHA which had recommended against such tunnels in public places. Meanwhile, all other precautionary measures like hand sanitization, body temperature checking, mandatory wearing of masks, sanitization of cargo premises, etc. had already been initiated by them.

(Point Closed)

2. Issue of Essential Services Duty pass to the back-office staff of stakeholders/customs brokers:

Trade represented that though their staff handling clearances work at ACC have been issued Essential Services Duty passes by Customs, their back-office staff and support staff, which deals with other documentation work related to filing of B/E or S/B, are facing problems in reaching their office as they are not been issued such passes. Trade requested that their back-office staff also be issued the passes by the Customs.

Commissioner (I) informed that more than 1500 essential services duty passes had already been issued to the Customs Brokers, primarily to help ease the movement of cargo. Further, it was requested that in the case the back-office staff is facing travelling problems; the trade may take up the matter with the local police/local administration as services rendered by CBs came under the ambit of essential services.

(Point Closed)

3. **Delay in clearance of Dangerous Goods(DG) at the time of export**:

Trade represented that clearance of export shipments classified as Dangerous Goods is often delayed due to the staff of the Custodian qualified to check DG cargo reporting for duty only after 3.00 PM which leads to the cargo trucks to be kept waiting since the DG cargo is checked at the time of docking. It was requested that the concerned CSC staff be made available from morning.

Commissioner (Export) directed that the matter be resolved between the Trade and the Custodians.

MIAL assured that they would issue a Circular in this matter directing the CSC/cargo operators to depute atleast one staff to work from 1000 hrs to 1900 hrs so as to avoid delay in clearance of such export shipments.

(Point Closed)

Addl. Point raised by ACAAI:

4. **Export of COVID 19 related goods under licence:**

Trade wanted to know whether exports of COVID 19 related goods especially PPE kits and masks are being allowed on the basis of DGFT licence. Also whether 1 ply mask was allowed to be exported.

Commissioner (Export) informed that no export of PPE kits or masks have been reported so far. Also, export of 1 ply masks may be allowed provided the same is not in violation of extant rules.

(Point Closed)

BRITISH AIRWAYS

The airlines made the following requests:

1. Online amendments (minor and major) approvals including provision for submission of documents and receipt of permission/order, online.
2. Online processing of CTM (Cargo Transfer Manifest) with provision for submission of documents and receipt of the CTM online.
3. Online payment of Customs Levy fees and Customs fine/penalty.

Commissioner (I) informed that these require changes to be made in the System and it being a Pan India issue, will have to be taken up with the Board.

Addl. Commissioner (I) informed that the above suggestions have already been sent to the Member (Customs) for consideration in System.

(Point Closed)

COSIA

It was informed that an email from Padmanasha Technology Pvt. Ltd. about resetting of password was sent but there was no feedback from the EDI Deptt., and that in absence of Revised User id and Password they were unable to make and upload the T1 AEO application.

Addl. Commissioner (I) informed that only CCO has access to resetting of passwords, hence, the issue will be taken up with CCO on priority.

Additionally, Asst Commissioner (PRO) suggested to correspond on **aeoindia.gov.in** to get updates on the matter.

(Point Closed)

EMIRATES

Emirates highlighted the shortage of space in MIAL Import Cold Storage and the resultant situation. They requested an update on the same and whether MIAL was making a provision for additional arrangements for storage.

MIAL informed that the issue of congestion was already being looked into and the decongestion would resolved the storage problems in the coming week.

(Point Closed)

Godrej & Boyce Mfg. Co. Ltd.:

The Company representative informed that though they had filed the BE and paid duty on the consignments arrived, they were unable to take delivery of the same as the goods were not traceable.

MIAL reiterated their resolve to sort out the issue in the coming week.

(Point Closed)

Commissioner of Customs (Export), ACC informed all stake holders/CBs to advice their clients to forward the IGST refunds related documents and clear the queries raised on their refunds, via e-mail, so as to enable Customs to process their IGST refund claims without any delay.

Commissioner of Customs (Import) advised the stake holders/CBs to minimise the physical presence of their staff in ACC unless absolutely necessary, due to the prevailing circumstances.

The meeting ended with thanks to the Chair.

GJEPC

The Commissioner of Customs, APSC, Mumbai took over to address the agenda points raised by GJEPC. The agenda points as well as the minutes of the further meeting, as received from Commissioner of Customs, APSC, are as under:

1. **Difficulty faced in relation to Cut & Polished Diamond (CPD) exported – on account of variation in dimension (s):**

The industry has been exporting and importing Gems and Jewellery for past 5 decades. One of the popular modes of diamond business is through consignment. It is primarily the requirement of the overseas buyer which our Indian diamantaires follow and conduct their business. Measuring of each and very diamond is nearly impossible by any appraiser. A sample of diamond is submitted to any appraiser for appraisement of the consignment. If unsatisfied, then more samples are submitted for appraisement.

In the consignment export and import of diamonds, the cut and polished diamonds, at the time of re-import, are exempted from payment of customs duty as per Notification No. 45/ 2017 – Customs. In recent months, there have been certain instances where upon inspection, some re-imported diamonds may have not met dimension(s) as stated in the relevant export documents. As a result, not only is the benefit of Notification No. 45 / 2017 – Cus. denied to the relevant parcel where the discrepancy occurs, the benefit of exemption is also being denied to the entire consignment.

Recently, the Council was informed about the non-clearance of shipments of polished diamonds imported by the prominent exporters / manufactures including the sight holders. Some of the cases are indicated below for information & reference purpose only.

Shipments of polished diamonds sent on consignment export by prominent member exporters like M/s, Dharmanandan Diamonds, M/s. H. Dipak, M/s. Hari Krishna Exports and M/s. Kiran Gems etc have been held by customs. In spite of minimal differences in one of the lots the entire shipments have been kept on hold. Also, the entities have been asked to pay custom duties on the entire consignment.

The industry strongly believes that under no circumstances, the goods should be held and detained for more than 2-3 days, as non-availability of raw material directly impacts the employment in this sector. Also, it is our humble request that the import duty in case of any anomalies should be levied only on the stones with difference in variation and not on the entire lot.

The following communication as received from APSC

This issue is related to Notification no. 45/2017 dated 30.06.2017. The duty exemption under this Notification is available *Provided that the Assistant Commissioner of Customs/ Deputy Commissioner of Customs is satisfied that:-*

(d) the goods are the same which were exported.

It is admitted by GJEPC that there the issue pertains to goods <u>where there is variation in dimension</u> with respect to Export declaration.

In terms of Section 2(39) of the Customs Act, 1962, attempt to clear imported goods duty free by wrongfully claiming exemption Notification is considered as Smuggling.

Attention is invited to Constitutional Bench Judgment of Hon. Supreme Court of India in case of *Dilip Kumar & Company Versus Commissioner of Customs (Import), Mumbai*2018(361)ELT577(SC) that:-

a)Exemption Notification should be interpreted strictly; the burden of proving applicability would be on the assessee to show that his case comes within the parameters of the exemption clause or exemption Notification

b)When there is ambiguity in exemption Notification which is subject to strict interpretation, the benefit of such ambiguity cannot be claimed by the subject / assessee and it must be interpreted in favour of Revenue.

In this regard, Office Note dated 22.04.2019 issued vide F.No.S/3-Misc-01(138)/2019-20/PCCCC has already deliberated on this point in detail.

The Show Cause Notice is issued under Section 124 of the Customs Act, 1962 in such cases. As per Section 110, Proper Officers can issue SCN within 6 months from the date of seizure of goods. Commissioner of Customs may extend such period to a further period not exceeding 6 months.

We agree with the recommendation of GJEPC that, in all such cases seizure should be effected immediately under Section 110 of the Customs Act, 1962 and proper Show Cause Notice be issued after thorough investigation within 6 months or one year of seizure depending on the cooperation of the Importer/Exporter with the investigation, in accordance with PN no. 30/2018 dtd. 19.12.2018 of the Commissioner of Customs, APSC.

(Point Closed)

2. **Delay in clearance of Parcels**:

Based on the past few months data, we are given to understand that there have been delays in clearance of parcels at PCCCC, Mumbai. During our various interaction with you and various stakeholders, it is given to understand that one of the reasons for delay may be lack of proper infrastructure. It is our request that you may kindly specify

the requirements and share it with us, so that we discuss the same with the trade to facilitate provision of infrastructure required by Customs.

The following communication as received from APSC:

No specific grievances are mentioned here. However, following measures are necessary:

- The area of the PCCCC is too small. It must be quadrupled.

-There must be waiting area for the Importers/Exporters/Customs Brokers

- Custodian must receive and take custody of any goods brought into PCCCC immediately.

- Goods must be only in the vaults not be lying around.

- Security must allow only Authorised Persons in PCCCC and only one Representative of Importer/Exporter.

-There are pests such as cockroaches and ants and the PCCCC is unhygienic. Proper care must be taken.

- Proper Queue Management System has to be implemented.

- There must be proper ventilation.

(Point Closed)

3. **Data Sharing with GJEPC: -**

GJEPC is an apex body for G & J sector in India. PCCCC, Mumbai accounts for import/export of approximately 60% by value of G & J products from India. To enable the Council to play more proactive role in the matter, it will be highly appreciated if a monthly report is sent to the Council in respect of the import/export parcels received at PCCCC, Mumbai and number of import/export parcels referred to and attended by the valuers along with the performance report and attendance sheet of the valuers. The format for data was shared by us vide our communication dated 20th March 2019.

The following communication as received from APSC:

All data asked for is confidential as it relates to Importers and Exporters. This Office is not entitled to share such data. GJEPC may approach Ministry of Commerce, Govt of India, for any type of data that they want.

(Point Closed)

4. **<u>Exempting Mining Companies from SVB: -</u>**

A large number of manufacturer exporters of Cut & Polished diamonds are sourcing the Rough Diamonds directly from large mining companies. Though there is no Basic Customs Duty on import of Rough Diamonds, there is Additional Customs Duty/IGST of 0.25% on the same. The valuation dispute often lead to the case being referred to SVB.

Large mining companies sell Rough Diamonds by auction and the price paid to/realised by such large mining companies is not susceptible to under valuation/over valuation.

We humbly request that valuation of Rough Diamonds procured from large mining companies should be excluded from SVB process and facilitate ease of doing business. This will also encourage large mining companies to come to India and set up trading offices. This will assist the trade immensely.

The following communication as received from APSC:

Under Section151A of the Customs Act, 1962, CBIC has issued Circulars to establish procedure for investigation of related party import cases and other cases by the Special Valuation Branch (SVB). Thus, matter is referred to SVB as per Circular no.05/2016-Customs dated 09.02.2016, as and when required. This Office have no authority to give any exemption beyond such Circulars which are binding on all.

(Point Closed)

5. **Releasing Diamonds sent for certification in Fast Track mode**

Large number of our members send Cut and Polished Diamonds for Certification and Grading to the approved laboratories which are listed in para 4.74 of Handbook of Procedures.

Following are authorized laboratories for certification / grading of diamonds of 0.25 carat and above:

I. IGI

- International Gemological Institute (IGI) – Hong Kong.
- International Gemological Institute (IGI) – Antwerp, Belgium
- The Robert Mouawad Campus, International Gemological Institute (IGI) USA;

II.GIA

- Gemological Institute of America (GIA), USA;
- GIA Hong Kong Laboratory Ltd., Hong Kong;
- GIA Education and Laboratory (Pvt) Ltd., Johannesburg; 128
- GIA Education and Laboratory, Gaborone (Botswana);

III. De Beers

- Forevermark NV, Antwerp, Belgium;
- Diamond Trading Company, Maidenhead, UK;

IV. HRD

- Hoge Road Voor Diamond, Antwerp, (HRD);

V. OTHERS

- Gemological Research (Thailand) Co. Ltd., Bangkok;
- American Gem Society Laboratories (AGS Laboratories),8917 West Sahara Avenue, Las Vegas, Nevada 89117;
- Central Gem Laboratory, Miyagi Building, 5-15-14 Ueno Taito-Ku, Tokyo, Japan;
- European Gemological Laboratory (EGL), USA;
- International Diamond Laboratories DMCC, Dubai.
- World Diamond Centre of Diamonds High Council, Antwerp, Belgium.

These labs are listed in the FTP as they are internationally recognized and globally accredited. We understand that these labs also have necessary checks and

balances in place to ensure that they return the same diamonds to its rightful owner. Based on that, under para No. 4.42 of Foreign Trade Policy (FTP) 2015-20 some of these foreign labs as per the following are authorized for import of diamonds for certification/grading & re-export.

- Gemological Institute of America (GIA), Mumbai, Maharashtra.
- International Institute of Diamond Grading & Research India Pvt. Ltd., Surat, Gujarat, India.
- HRD Diamond Institute Private Limited, Mumbai, Maharashtra, India

Considering the above, it is our request that parcels sent for certification to foreign offices in countries notified of these labs may be released without all kind of measurements and value checks, which are as per following:-

I.IGI

II.GIA

III.De Beers

IV.HRD

The following communication as received from APSC:

In all such cases, duty free reimport of goods is claimed under Circular No.09/2012-Customs dated 09.03.2012. Hence, as cited above, Constitutional Bench Judgment of Hon. Supreme Court of India in case of *Dilip Kumar & Company Versus Commissioner of Customs (Import), Mumbai* 2018(361)ELT577(SC) is binding on all. However, if required, Importer is free to fast track the clearance of such goods on payment of applicable duty.

(Point Closed)

6. **On First-Check Request**

Under Sec. 46 of The Customs Act, 1962 read with Para 4 of Chapter 3 of Central Board of Excise & Customs departmental Manual, an importer, if he is not sure of rate of duty or value of the consignment, can request the Customs to first check / examine the consignment before filing the Bill of Entry.

If the Customs is unable to grant such request due to lack of infrastructure, the council may please be informed, so that matter may be taken up with trade accordingly.

The following communication as received from APSC:

1.Requests made by the Importer for examination of goods by the Importer under Second Proviso to section 46 of the Customs Act, 1962 are never denied by PCCCC, if received before filing of Bill of Entry.

2. As mandated by law, the request must be made in writing to the Asstt. Commissioner/Deputy Commissioner.

3. In such case, the examination by the Proper Officer shall be only after the filing of the Bill of Entry.

(Point Closed)

7. **Request for not considering Rapaport Price List**

Diamond valuations are known as the 4 C's: Cut, Clarity, Color and Carat weight. But these are just the core, basic factors. There are a multitude of other factors to be taken into consideration for ascertaining the value of a diamond.

The cut grades affect the price of diamonds. Excellent cut is optimal. It is worth approximately 15 -20 % more than a Very Good (VG) cut grade, which is worth approximately 15% more than a Good (G) cut grade.

Also, the manner in which Rough Diamonds are priced admits of wide variations even amongst the members of the diamond trade. This is best exemplified by the fact that in an auction for a consignment of Rough Diamonds, experts from the same trade may quote prices which are may vary to the extent of 30% to 40%.

Rapaport's price list is a retail price list. The said price list provides information based on the opinion of Rapaport price analysis team, which is not independently verifiable. The prices of CPD vary depending on various factors such as inventory, global demand and supply and credit terms and does not reflect the prices at B2B level. Many times a business is sold to a customer consisting of various parcels and variety of diamonds and the exporter may take an average approach on total amount of the invoice rather then pricing each and every parcel to its 'perfection'.

Considering the above, Rapaport prices may not be taken as the only basis of valuation.

The following communication as received from APSC:

This issue has been decided in TFC Meeting held on 4.10.2013 held at the PCCCC, BKC,Mumbai and chaired by the Commissioner of Customs wherein 3 Representatives of the GJEPC were present. The decision is recorded at Para 3.3 of the Minutes dtd. 21.10.2013 issued from F.No.S/3-MISC-196/2013-14/PCCCCC

GJEPC has not elaborated properly as to why Rapaport should not be used as basis for valuation. However, Rapaport is not the only basis for Valuation at PCCCC. Valuation of goods at PCCCC is done as per Section 14 of the Customs Act, 1962, the Customs Valuation (Determination of Value of Imported Goods) Rules, 2007, and the Customs Valuation (Determination of Value of Export Goods) Rules, 2007. Assessing Officer is free to consult any other material permissible within the limits of Law. GJEPC may take legal action against Rapaport if they feel that the industry is being misled by Rapaport. The PTFC is not a forum for solving and airing the personal animosities which the GJEPC Officials may have with Rapaport.

(Point Closed)

8. **<u>Complaint received from Member Company: -</u>**

As you are aware, star melee diamonds are very small in size and height of the same cannot be mentioned. During their various representation to Customs, we are given to understand that Custom officials were convinced that the weight and value of the diamonds were in order. However, the parcel was not released.

GJEPC has made a detailed SOP Booklet along with IDI and other Government Agencies. This SOP, recommends standards, inspection protocol and limit of tolerance of variances. The same has being shared with you and your dept. It is requested that these be adopted by the Customs authorities as a standard protocol for clearance of parcels. We have also prepared a video demonstrating the same, which will be shared with you.

The following communication as received from APSC:

This issue is divided into 2 parts.

For part 1, if everything is in order, goods are examined, assessed and cleared. Otherwise lawful seizure is executed under Section 110 of the Customs Act, 1962.

For part 2, any such instruction under Section 151A of the Customs Act, 1962 can be issued by the CBIC only.

(Point Closed)

This issues with the approval of Commissioner of Customs (General/Import/Export/APSC), Mumbai Customs Zone-III.

Sd/-
(M. K. SARANGI)
Addl.Commissioner of Customs (Import)
Air Cargo Complex, Sahar, Mumbai

COPY TO:

1. Chief Commissioner of Customs, Zone-III, Mumbai - For kind information, please.
2. Pr. Commissioner / Commissioner of Customs, Import / Export / General, APSC, ACC.
3. All Addl./Jt./DC/AC Commissioner of Customs, Import / Export / General, APSC, ACC.
4. All members of PTFC meeting (via E-mail)
5. E &T Section/PSO Section for circulation in Export/General Commissionerate.
6. EDI Section- For uploading on ACC Website.
7. Office copy.